

home per American city. Returning soldiers faced a severe housing shortage.

2. The specific jobs created during the war—building ships, tanks, and planes—were very suddenly not necessary after it, stopping with a speed and magnitude rarely seen in private business. It was unclear where soldiers could work.
3. The marriage rate spiked during and immediately after the war. Soldiers didn't want to return to their mother's basement. They wanted to start a family, in their own home, with a good job, right away.

This worried policymakers, especially since the Great Depression was still a recent memory, having ended just five years prior.

In 1946 the Council of Economic Advisors delivered a report to President Truman warning of “a full-scale depression some time in the next one to four years.”

They wrote in a separate 1947 memo, summarizing a meeting with Truman:

We might be in some sort of recession period where we should have to be very sure of our ground as to whether recessionary forces might be in danger of getting out of hand ... There is a substantial prospect which should not be overlooked that a further decline may increase the danger of a downward spiral into depression conditions.

This fear was exacerbated by the fact that exports couldn't be immediately relied upon for growth, as two of the largest economies—Europe and Japan—sat in ruins dealing with humanitarian crises. And America itself was buried in more debt than ever before, limiting direct government stimulus.

So we did something about it.

2. Low interest rates and the intentional birth of the American consumer.